

F88 - Earnings beat expectations on strong lending growth despite seasonal softness - Earnings Flash & AM Note

Company Research • 28 Apr 2026

F88 reported strong Q1 2026 results, with total revenue of VND1.4tn (+54% YoY) and NPAT-MI of VND241bn (+131% YoY), marking a record-high in quarterly profit. Revenue and NPAT-MI complete 25% and 24% of our respective full-year forecasts. Meanwhile, PBT reached VND303bn (+129% YoY), completing 27% of AGM guidance, which is notably strong given Q1 is typically the seasonally softest quarter for consumer finance and alternative lending activity. We also attended the company's analyst meeting on April 24 and share our takeaways below.

Overall, F88's solid performance was driven by accelerating disbursement growth, expanding loan balance, positive operating leverage, diversified income streams, and asset quality that remains within management's risk appetite. We see potential upside to our 2026 forecasts, pending a more comprehensive review.

Below are the key highlights from the Q1 results and earnings call.

1. Strong lending activity remains the key growth driver, supported by scale expansion, strategic partnerships, and digital channels

- Revenue rose 54% YoY to VND1,397bn, underpinned by lending revenue of VND1,228bn (+50% YoY) and a strong insurance revenue contribution of VND169bn (+93% YoY).
- Disbursement reached VND5,207bn (+58.6% YoY), while net outstanding loans increased to VND7,897bn (+62.3% YoY; +9.4% QoQ). Growth was supported by F88's large branch network, ongoing partnerships with CIMB and MBB, and the rising contribution from online channels, which accounted for 14% of Q1 disbursement.
- F88 served 76k customers in Q1 2026 (+41% YoY), bringing cumulative customers to nearly 1.4mn. The repeat-customer ratio increased to 68% (+10 ppts YoY), indicating improving customer stickiness and supporting lower acquisition cost over time.
- By product mix, Q1 2026 net outstanding loans were split as 52% motorbike / 48% car. Loans originated via the CIMB (since 2020) and MBB (since 2025) partnerships contributed nearly 25% and 1% of net outstanding loans, respectively. While the partnership with MBB remains in an early stage, its scale provides meaningful room for future growth.
- F88 added approximately six branches in Q1, bringing the total to 956 branches, broadly on track toward its target of around 1,000 branches by YE2026.

2. Insurance: standalone growth, richer product mix, and expanding fee pool

- F88 is broadening its role beyond insurance brokerage into post-sales services, including claims management via TPA authorization and digital servicing through F-Insurance / MyF88, creating additional fee opportunities while deepening customer engagement.
- Standalone insurance is becoming a meaningful growth engine, not merely a loan-bundled add-on. Q1 2026 insurance revenue rose 93% YoY to VND169bn (358,000 contracts), equivalent to around 12% of total revenue, while standalone insurance revenue grew from a low base by 726% YoY to VND15bn (62,000 contracts), indicating genuine demand from F88's customer base.
- Product diversification is lifting monetization: The insurance premium commission rate increased to 74% in Q1 2026, from 70% in Q1 2025, supported by a richer mix of higher-margin standalone products (i.e., the new Medical Support Card distributed via Pharmacy).

3. Funding is sufficient, with manageable costs and conservative leverage

- Funding costs remain well-contained despite rate pressure. Management's COF was stable at 14.1% in Q1, while the reported funding-cost ratio in the operating table was 15.1%, broadly flat vs 15.2% in Q1 2025. Management guides for only a modest increase of around 20 bps to approximately 14.5% for FY2026, despite higher interbank rates and FX hedging costs.
- Leverage remains conservative, leaving room to fund growth. F88's leverage stood at 1.7x, well below the NBF1 peer median of 4.2x, giving the company ample balance-sheet headroom to execute its expansion plan without near-term equity pressure.
- Funding sources are becoming more domestic and diversified. The funding mix shifted to 67% onshore / 33% offshore in Q1 2026, from 52% / 48% in 2025, supported by the first public bond drawdown and new domestic institutional lenders.
- Upcoming capital-market events could improve liquidity and lower long-term capital costs. The approved 1:1 stock issuance from owners' equity is expected to become effective in June 2026 and tradeable in August 2026. Management is also targeting a public offering and HOSE listing in H2 2026, with the offering size expected at around 10%.

4. Asset quality: temporary noise, but early-risk indicators remain within appetite

- The annualized gross write-off ratio increased to 19.1% in Q1 2026 (+1.1ppts YoY), while recovery income / total write-offs declined to 24.2% (-15.8 ppts YoY). Management attributed this mainly to the lagged impact of late-2025 flood disruptions and Lunar New Year seasonality, which extended collection cycles; April's data has reportedly started to normalize.
- Early-risk indicators remain within management's risk appetite. On-time repayment reached 84.1%, above the company's internal target of >80%, while the B0→B1 roll rate of 3.3% and FPD30+ ratio of 2.8% both came in below management's thresholds.

- Collateral coverage remains conservative: Average LTV remained low at 53.6%, with motorbike and car LTVs at 54.8% and 48.6%, respectively. Collateral values are marked to market monthly, supporting disciplined risk control.
- EV transition risk is being actively managed: Management sees limited near-term major substitution risk (but rather gradual) for F88's mass-market ICE motorbike collateral base, given charging-infrastructure constraints and customer-adoption behavior. However, F88 has also developed a dedicated EV LTV framework and separate EV product roadmap.

5. Customer segmentation:

- F88 applies a multidimensional segmentation approach, looking at customers by occupation, income stability, life stage (married or not), and financial needs rather than a single profile. among identified needs, 77% relate to savings/accumulation, 30% to non-bank lending, and 9% to protection/insurance, indicating meaningful room to further cross-sell insurance within the ecosystem.
- Around 70% of F88's customer portfolio are freelancers, reflecting the company's focus on underserved customers with unstable income or limited access to banks and traditional consumer finance providers. Within the freelancer group, key sub-segments include young individuals without stable jobs, married customers with family financial responsibilities, and other informal workers who face recurring cash-flow pressure.

6. Profitability and 2026 outlook

- Profitability improved sharply, with annualized ROE rising to 37.9% (+11.6 ppts YoY) and ROA expanding to 14.0% (+4.8 ppts YoY). Management is guiding toward approximately 38% ROE for FY2026.
- Following the Q1 beat, management upgraded its internal FY2026 outlook across key KPIs: total net loans are expected to grow 35% vs the AGM target of 33%; service revenue is expected to grow 45%+ vs the AGM target of 42%; and PBT is expected to grow 35%+ vs the AGM target of 25%. We currently forecast 40% PBT growth in 2026, but we believe this forecast is feasible to achieve given the current momentum.
- Macro sensitivity remains a key point to watch, but management does not plan to pull back on growth. Instead, F88 would shift toward higher-quality customer segments if conditions deteriorate, with asset quality prioritized over volume growth.

F88's consolidated Q1 2026 results

VND bn	Q1 2025	Q1 2026	YoY
Total revenue (including recovery income)	905	1,397	54%

Insurance revenue	88	169	93%
Lending revenue	817	1,228	50%
Total expenses	(772)	(1,094)	42%
Employee expenses	(296)	(374)	26%
Allowance expenses	(218)	(382)	75%
Financial expenses	(104)	(141)	36%
Others	(155)	(197)	27%
PBT	132	303	129%
NPAT-MI	105	241	131%
Total outstanding loans growth*	6.1%	9.4%	3.3 ppts
Total borrowings growth*	-3.6%	10.5%	14.1 ppts
Yields including fee (%)	84.2%	79.5%	-4.7 ppts
Funding costs (%)	15.2%	15.1%	-0.1 ppts
Credit costs (%)	9.7%	8.3%	-1.4 ppts
Annualized gross write-offs/average outstanding loans	18.0%	19.1%	1.1 ppts
Recovery income/Write-offs	40.0%	24.2%	-15.8 ppts

CIR (%)	85.4%	78.3%	-7.1 ppts
ROE	26.2%	37.9%	11.6 ppts
ROA	9.3%	14.0%	4.8 ppts

Source: F88, Vietcap – * Q1 2025 and Q1 2026 loan growth and total borrowings growth are QoQ growth. Operating metrics are calculating using average outstanding loans.

